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ECONOMIC ENVIRONMENT OF GLOBAL BUSINESS · MEMBA 14 · PART I

SESSION 1

Course Overview & Data Literacy for Managers



From markets, to macro, to decisions that matter — in Nigeria and the world.

Reading: Mankiw ch. 1, 2, 22, 23 · Note on Microeconomics for Managers · Facilitator: Bongo Adi

THE QUESTION FOR TODAY

“Sales Are Up 30%. The Board Is Delighted.”

FY2024: a Lagos FMCG firm reports naira revenue of ₦52bn, up from ₦40bn. Did the business grow?

Before anyone celebrates, an economist runs three checks. By the end of today you will run all three:

1 · Real or nominal?

Consumer prices rose about 33% on average in 2024. If prices rose faster than sales, volume fell.

2 · In which currency?

The naira averaged about ₦645/$ in 2023 and ₦1,479/$ in 2024. Imported inputs are priced in dollars.

3 · Compared with whom?

If the category grew faster than 30% in naira, we lost market share.

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The Macro-to-P&L Map: Where the Economy Hits Your Numbers

When this moves… it hits…	Revenue (volume × price)	Cost of sales	Operating costs	Finance costs	FX gains & balance sheet
Naira weakens	Imported rivals dearer; exports more competitive	Imported inputs and packaging cost more	Diesel, spares, software licences	Dollar loans cost more in naira	Revaluation losses on dollar liabilities
Inflation rises	Real incomes fall; customers trade down	Local inputs and freight rise	Wage pressure, rent reviews	Rates rise to fight it	Inventory gains; idle cash loses value
Interest rates rise	Less consumer and distributor credit	Supplier credit dearer		Overdrafts and loans reprice	Naira assets attract inflows; FX steadier
Growth and incomes rise	Volumes up; premium mix sells	Tighter input markets	Competition for skilled staff	Banks lend on better terms	
Policy shifts (subsidy, tax, tariffs)	Tariffs shield or expose you	Duties, fuel price	Transport, levies	Government borrowing crowds out credit	Tax treatment of FX gains

Large effect Moderate Small

We will fill in this map session by session. ***Every economic idea in EEGB ends with the question: which cell does it move — and by how much?***

TODAY

Session 1: Three Parts, One Deliverable

75 minutes. The appendix holds the self-study depth.

10 min	22 min	25 min	18 min
Opening	1 · Think like an economist	2 · Read the numbers	3 · Nowcast and dashboard

BY THE END OF TODAY YOU WILL BE ABLE TO

Frame decisions like an economist

Use **opportunity cost, the margin and incentives** on a real decision, and apply Mankiw's ten principles.

Read official data correctly

Convert **nominal to real**; handle **rebasing, revisions** and percentage points; tell **correlation from causation**.

Build a board macro page

Pick six indicators, read them with **fast signals**, and write a **'so what'** for your business.

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Assessment — and How Today Prepares You

Component	Weight	What it involves	Today's link
Class participation (in-person + online)	30%	Cold calls, in-class problem-solving, polls and short reaction notes	Every check slide is a cold-call rehearsal
Short quizzes / polls	10%	Pre-class checks on the readings	Mankiw ch. 1, 2, 22, 23 underpin today
Practice-based assignment	20%	Data labs (FRED / IMF / CBN / NBS / World Bank), case brief, macro policy memo	Today's lab is Data Lab 1
Final exam	40%	On-site, closed-book examination	Expect: real growth, CPI, real rates, pp vs %

Participation is a third of the grade. Read before class, bring one number from your own business, and be ready to defend a recommendation. The course roadmap is in the appendix.

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PART

01

Think Like an Economist



Mankiw's ten principles, applied to decisions a Nigerian board actually takes.

The question this part answers: How should a manager frame a decision before reaching for the numbers?

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Ten Principles — Translated for a Lagos Boardroom

#	Principle	In a Nigerian boardroom	Where
1	People face trade-offs	More FX for raw materials means less for debt service.	Today
2	The cost of something is what you give up to get it	Idle cash costs what it could have earned — and what inflation eats.	Today
3	Rational people think at the margin	Run the night shift only if its **extra** revenue beats its **extra** cost.	Today · S4
4	People respond to incentives	A cheap subsidised price invites smuggling; an FX gap invites round-tripping.	Today · S5
5	Trade can make everyone better off	Gains come from comparative advantage, not from being best at everything.	Today · S12
6	Markets are usually a good way to organise activity	Prices carry information; rationing replaces them with queues.	Today · S2
7	Governments can sometimes improve market outcomes	Property rights, externalities, market power — if the state has capacity.	S4 · S5
8	Living standards depend on productivity	Real output per person has fallen about 10% since 2014.	Today · S7
9	Prices rise when the government prints too much money	Ways & Means financing preceded the 2023–24 inflation surge.	S8 · S9
10	Short-run trade-off between inflation and unemployment	Rate hikes cool prices but squeeze sales and jobs first.	S6

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What Did ₦1bn of Idle Cash Really Cost in 2024?

₦1bn, end-2023 → end-2024	Naira, end-2024	Real (Dec-23 ₦)
Leave it in a current account (0%)	₦1.00bn	₦0.74bn
364-day T-bill, Jan 2024 (11.5%)	₦1.12bn	₦0.83bn
Pre-buy $-priced inputs at ₦899/$	worth ≈ ₦1.71bn	≈ ₦1.27bn

SO WHAT FOR YOUR TREASURY

In 2024 the 'safe' choice — idle naira — was the most expensive one, and even T-bills lost in real terms. Only the **dollar-linked** option kept its value. With the real policy rate now about **+7%** (Part 2), that ranking has reversed.

STEP BY STEP

1. Inflation in the year to Dec 2024 was **34.8%**: ₦1 at end-2024 bought what ₦0.74 bought a year earlier (1 ÷ 1.348).
2. Idle cash therefore **lost about ₦258m** of purchasing power — a real cost that no invoice ever shows.
3. A one-year T-bill bought in **January 2024** yielded about **11.5%**; yields near 20% came only after the February–March hikes. Real return: 1.115 ÷ 1.348 − 1 ≈ **−17%**.
4. Pre-buying hedged the naira's fall from **₦899 to ₦1,535/$** (+71%) — but tied up cash and warehouse space, and stock can spoil. That is **its** opportunity cost.

The cost of a decision is the **best alternative given up** — measured in real terms, not just in naira.

ILLUSTRATIVE

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Should the Factory Run a Third (Night) Shift?

Per night of the third shift	₦ million
Extra output: 6,000 cartons × ₦4,500 net price	+27.0
Materials: 6,000 × ₦3,000	−18.0
Night-shift labour and supervision	−3.2
Diesel — the grid is unreliable at night	−6.5
Marginal profit per night	**−0.7**

TRY IT

Find the break-even. At what diesel cost does the shift pay? (₦5.8m a night.) At what net price per carton? (₦4,617.) Good managers know the **two or three numbers that flip the decision**.

STEP BY STEP

1. Finance says: 'average cost per carton falls from ₦5,000 to ₦4,900 because fixed costs are spread' — **true but irrelevant**.
2. Fixed costs (rent, depreciation, head office) are paid whether or not the shift runs. They are **not marginal**.
3. Ask only: does the **extra** revenue exceed the **extra** cost? Here it falls short by ₦0.7m a night.
4. The decision flips if diesel falls, the grid improves or the price rises — so those are the numbers to watch.

Decide at the **margin**: compare extra benefit with extra cost. Averages and sunk costs mislead.

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People Respond to Incentives — Often Unexpectedly



Petrol subsidy

Pump price held near **~~₦185/litre~~** until May 2023 while neighbours paid far more. Result: cross-border smuggling and a subsidy bill above **~~₦4trn~~** in 2022.

Incentives change behaviour at the margin.



Multiple exchange rates

In May 2016 the street rate was **71% above** the official rate. Anyone with official access could buy cheap and sell dear; **round-tripping** grew while genuine importers queued.

A price gap is an incentive.



FX restrictions on imports

Barring 41 items from the official FX window (2015) aimed to boost local production. It also **raised prices and rewarded smuggling** through porous borders.

Watch what people do, not what the rule says.

Before backing a policy — or a sales commission scheme — ask: ***who gains, who loses, and how will each change behaviour?***

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Comparative Advantage: Why the 'Better' Producer Still Gains

120 hours of labour each	Hours per tonne of cement	Hours per bag of cocoa	Cost of 1 bag of cocoa
Nigeria	2	4	2 t of cement
Ghana	6	6	1 t of cement
No trade (split time evenly)	N 30 + G 10 = 40 t	N 15 + G 10 = 25	
Specialise by comparative advantage	N 50 + G 0 = 50 t	N 5 + G 20 = 25	+10 t of cement

STEP BY STEP

1. Nigeria is faster at **both** goods: it has the **absolute advantage** in each.

2. But a bag of cocoa costs Nigeria **2 tonnes** of cement forgone, and Ghana only **1 tonne**. Ghana has the **comparative advantage** in cocoa; Nigeria has it in cement.

3. If each leans towards what it gives up least to make, total output rises: the same 25 bags of cocoa plus **10 extra tonnes** of cement.

4. Trade at 1.5 t per bag: Ghana swaps 10 bags for 15 t and ends with **10 bags + 15 t** (was 10 + 10); Nigeria ends with **35 t + 15 bags** (was 30 + 15). **Both gain.**

Gains from trade come from **comparative** advantage — differences in opportunity cost — not from being best at everything.

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Markets Usually Work — Governments Can Sometimes Help

6 · Markets usually work well

Prices carry information and incentives

- A price summarises scarcity: when it rises, buyers economise and sellers supply more — with no one coordinating them.
- When the official naira rate was held below the market, dollars **were rationed**: queues and a parallel market replaced the price signal.
- Price controls create shortages, queues or black markets — the price is still paid, just in another form.
- Adam Smith's 'invisible hand': self-interest, guided by prices, can serve the common good.

7 · Governments can sometimes help

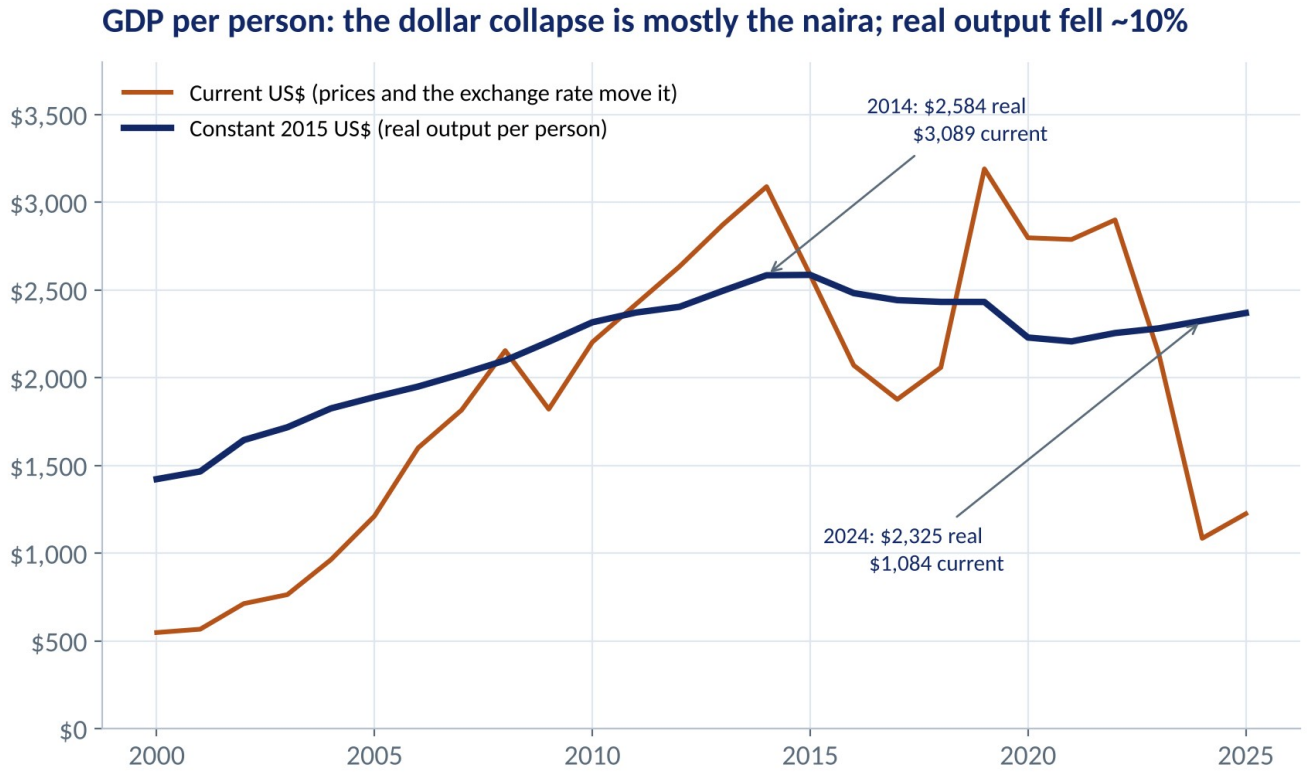
When markets fail — and when the state has capacity

- **Property rights and contracts**: markets work only if courts enforce them.
- **Externalities**: pollution, gas flaring and congestion impose costs that prices ignore (Session 5).
- **Market power**: a dominant firm or platform can price above the efficient level (Session 4).
- 'Sometimes' is the key word: policy can also fail — through poor design, weak capacity or capture.

*The manager's question is never 'market or state?' but **'what is failing here, and will the proposed fix work better than the failure?'***

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Living Standards Depend on What a Country Produces



Source: World Bank WDI (NY.GDP.PCAP.KD, NY.GDP.PCAP.CD), last updated Oct 2026. The 2019 jump in current US$ coincides with the start of NBS's rebased (2019-base) GDP series.

Fig S01-F05 · replicate: s01_figures.py / .R

WHAT TO SEE

- **Real** output per person (constant 2015 US$) was **$2,584 in 2014**, near its 2015 peak, and **$2,325 in 2024**: about **10% lower**.
- Population grew about **2–2.6% a year**; output barely kept up — echoing **1992–2002**, when the LBS case IB-90 reports GDP growth of 2.25% against population growth of 2.8% (older data).
- The **current-dollar** line falls by two-thirds — mostly the **naira's collapse**, not lost production. It also jumps in 2019 where the rebased GDP series begins.
- Wages rise sustainably only with **output per worker**: power, skills, technology, institutions (Session 7).

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Money, Prices and the Short-Run Trade-Off

WHAT SESSIONS 6, 8 AND 9 WILL BUILD

9. Prices rise when the government finances itself by creating money.

10. In the short run, lowering inflation usually costs output and jobs.

Full treatment and Nigerian data in the appendix and in Part II.

1 Inflation is a transfer (Ferguson)

The Ascent of Money shows inflation moving wealth from savers and bondholders to debtors. Argentina pegged, slashed inflation — and still defaulted in 2001 because **fiscal** discipline never followed.

2 Nigeria: money financing, then the bill

CBN 'Ways & Means' lending to the government reached about **₦22.7trn** before being securitised in 2023. Inflation peaked at **34.8%** in December 2024.

3 The trade-off in practice

The CBN raised its policy rate from **18.75% to 27.5%** during 2024, began cutting only in **September 2025** as inflation fell, and is now at **23%** (September 2026). Volumes and jobs feel tightening **before** prices do.

4 Manager's use

When the MPC tightens, plan for **slower demand and tighter working capital** over the next year; when it eases, the reverse.

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Quick Check: What Would You Say?

?

Your CFO wants to run the night shift because 'it lowers our average cost per carton'. Which reply best applies today's principles?

A. Agree — a lower average cost means each carton is now more profitable

B. Reject it — fixed costs make night shifts unprofitable in Nigeria

C. Ask whether the shift's extra revenue covers its extra cost, ignoring fixed costs we pay anyway

D. Postpone until next quarter's GDP data show whether demand is growing

Discuss with your neighbour for 60 seconds — answer and reasoning in the speaker notes.

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PART

02

Read the Numbers

How official statistics are built — and the traps that catch managers.



The question this part answers: Did our firm actually grow — and what is the economy really doing?

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From Concept to Headline: Where Errors Creep In



Concept

What do we want to know? e.g. the cost of living.

Definition

Which basket, households, prices, base year?

Collection

Surveys, admin and tax records. Is the informal sector covered?

Aggregation

Weights and index formulas turn thousands of prices into one number.

Release

Headline first, detail later. Lags matter.

Revision

Rebasing and new data change history — even recent history.

Piketty's warning applies to every board paper: without precise sources, methods and concepts, ***you can see everything and its opposite.***

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How the CPI Is Built — a Five-Step Worked Example

Monthly basket	Qty	2024 price	2025 price	2024 cost	2025 cost
Rice (50 kg bag)	1	₦80,000	₦72,000	₦80,000	₦72,000
Garri (bucket)	4	₦4,000	₦4,800	₦16,000	₦19,200
Petrol (litres)	60	₦700	₦900	₦42,000	₦54,000
Transport (trips)	40	₦500	₦600	₦20,000	₦24,000
Rent (monthly)	1	₦100,000	₦120,000	₦100,000	₦120,000
Cost of basket				**₦258,000**	**₦289,200**

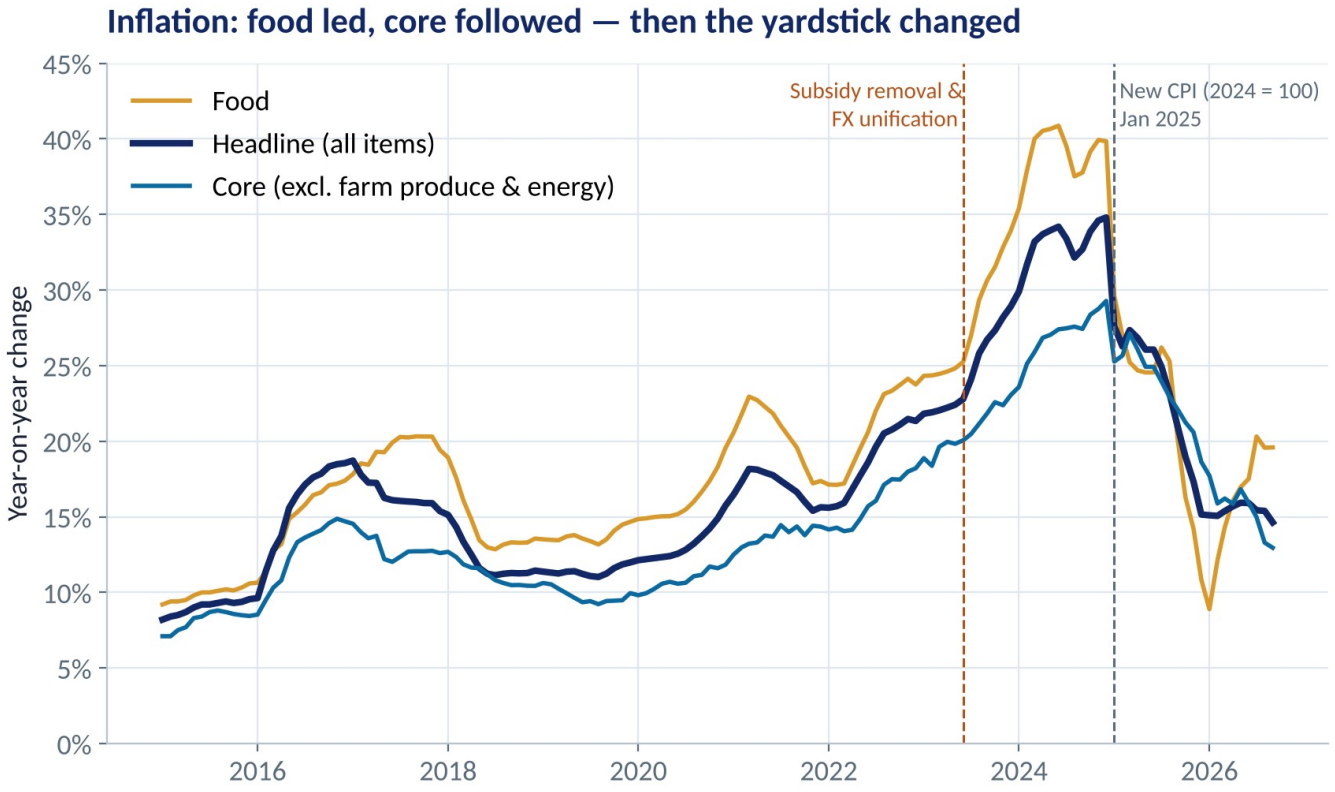
STEP BY STEP

1. **Fix the basket**: what a typical household buys (quantities held constant).
2. **Collect prices** for each item in each period.
3. **Cost the basket** each year at that year's prices.
4. **Pick a base year** and index: 289,200 ÷ 258,000 × 100 = **112.1**.
5. **Inflation** = 112.1 ÷ 100 − 1 = **12.1%**, even though rice got cheaper.

The CPI tracks a **fixed basket**. Your firm's own input basket may inflate much faster or slower.

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Inflation: Food Led, Core Followed — Then the Yardstick Changed



Source: CBN statistics (cbn.gov.ng/rates), accessed Nov 2026. 2025 values are NBS's revised (Dec 2025) series on the 2024 base; earlier values on the 2009 base.

Fig S01-F01 · replicate: s01_figures.py / .R

WHAT TO SEE

- Dec 2024: **34.8%** on the old CPI (2009 base, food **51.8%** of the basket).
- Jan 2025: new CPI (**2024 = 100**, food weight **40%**). First published as **24.48%**…
- …then **revised to 27.61%** when NBS reviewed its method in Dec 2025. Even 'latest data' changes.
- Sep 2026: headline **14.6%**, food 19.6%, core 13.0% — a genuine fall, on the new yardstick.
- **Never compare across a rebasing** without the statistics office's linked series.

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The Day Nigeria's Economy 'Grew' 35%

₦372.8trn

2024 nominal GDP, rebased

New base year **2019** (was 2010), published by NBS in July 2025.

+35.4%

vs the old estimate

Same economy, better measurement: fintech, creative industries, telecoms and more informal activity captured.

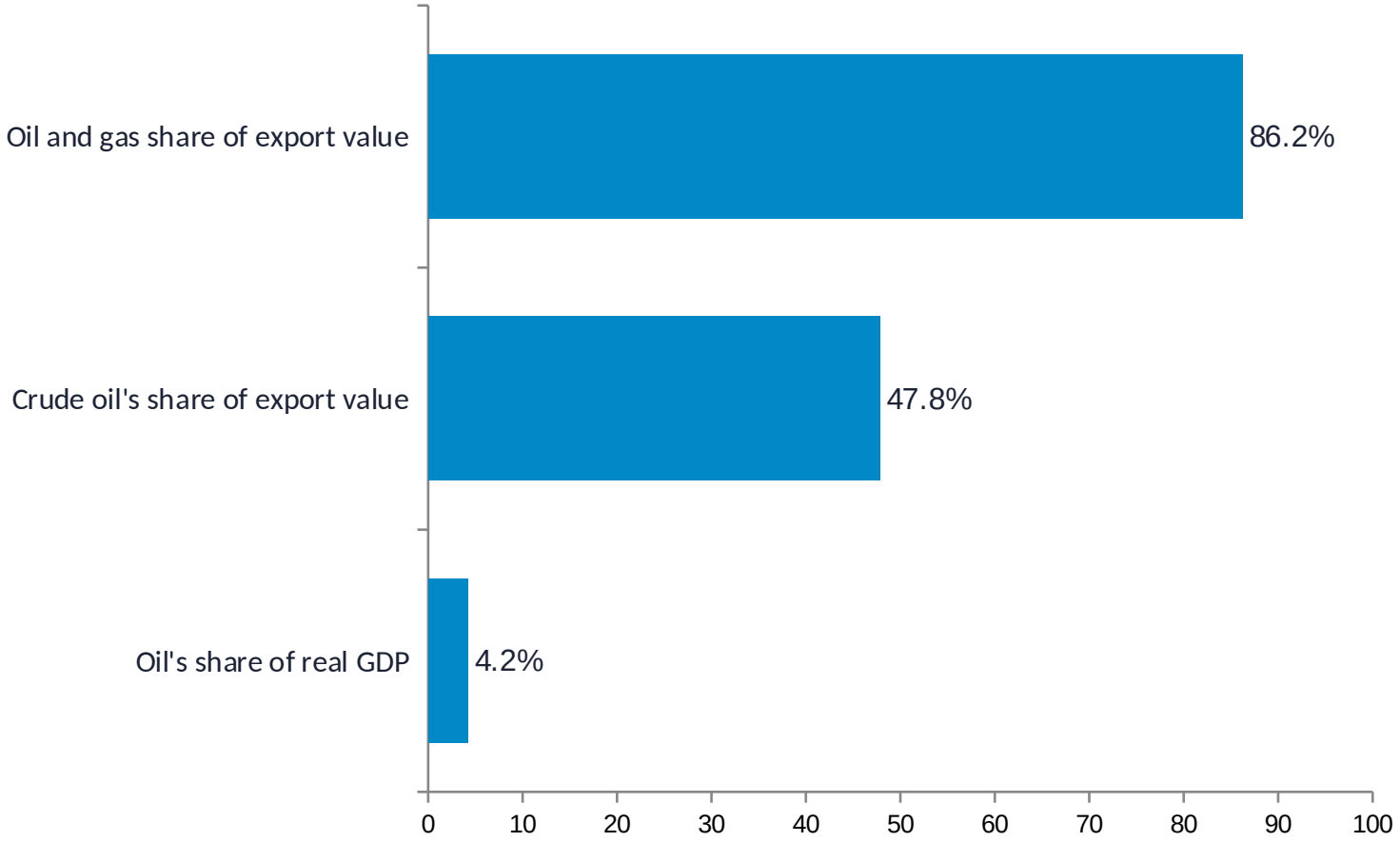
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Extra naira in anyone's pocket

Rebasing changes the **level**. Ratios drop overnight: debt-to-GDP, tax-to-GDP, credit-to-GDP.

*Before comparing GDP ratios across years or countries, ask: **which base year?** A covenant of 'debt below 40% of GDP' can be met overnight by a rebasing.*

Oil Is 4% of GDP — and Still Most of Nigeria's Exports



Q2 2026. Sources: NBS GDP report; NBS Foreign Trade in Goods (crude ₦12.91trn, other ₦14.11trn incl. non-oil ₦3.72trn, of ₦27.0trn).

WHAT TO SEE

- Oil adds little **value added** in real GDP — it is capital-intensive and measured at constant prices.
- But oil earns most of the **dollars**: crude alone was about 48% of exports; oil and gas about 86%.
- So the oil price still drives the **naira, reserves and government revenue**.
- Always ask: share of **GDP, exports, revenue or FX supply**?

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Small Words, Big Mistakes

Change	Percentage points	Percent
Inflation 34.8% → 14.6%	−20.2 pp	−58%
MPR 26.5% → 23.0%	−3.5 pp (350 bp)	−13.2%
CPI food weight 51.8% → 40%	−11.8 pp	−22.8%

WORKED EXAMPLE

A loan priced at 'MPR + 4%' fell from 30.5% to 27.0% after the September 2026 cut: a **3.5 pp** fall in the rate, which cuts the interest bill by **11.5%**. Both numbers are right; they answer different questions.

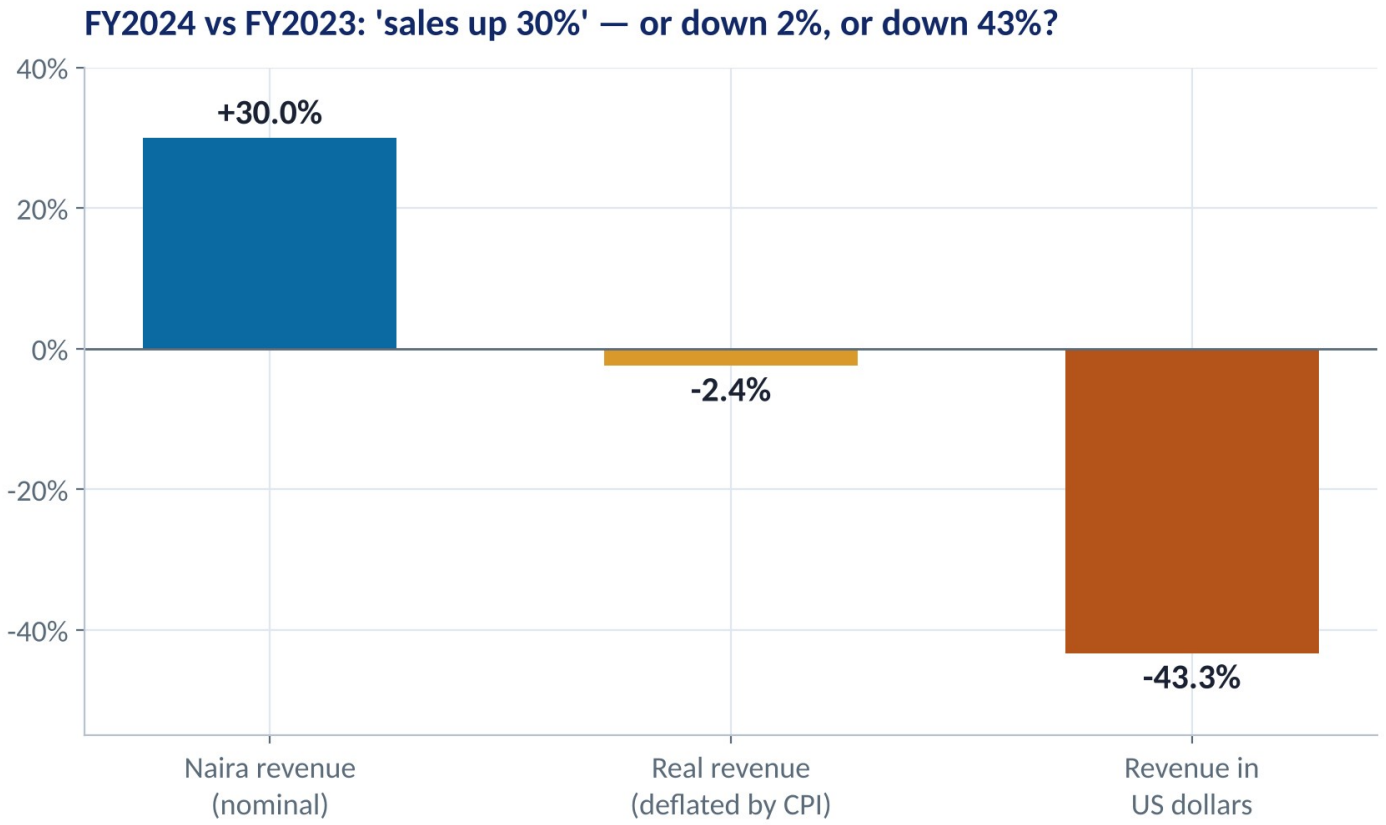
STEP BY STEP

1. A **percentage point (pp)** is the simple difference between two rates.
2. A **percent change** is the change relative to the starting level.
3. Markets speak in **basis points**: 1 pp = 100 bp. The September 2026 MPC cut was **350 bp**.
4. 'Food weight cut by over 22 per cent' (Feb 2025 headline) is right as a percent — the weight fell **11.8 points**.

Say **pp** for changes in rates. Mixing the two misstates a change by a factor of two to four.

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Real vs Nominal: One Revenue Figure, Three Answers



Illustrative firm: ₦40bn → ₦52bn. CPI: 2024 average inflation 33.2% (World Bank/NBS). ₦/$ annual averages 645 (2023) and 1,479 (2024), World Bank PA.NUS.FCRF.

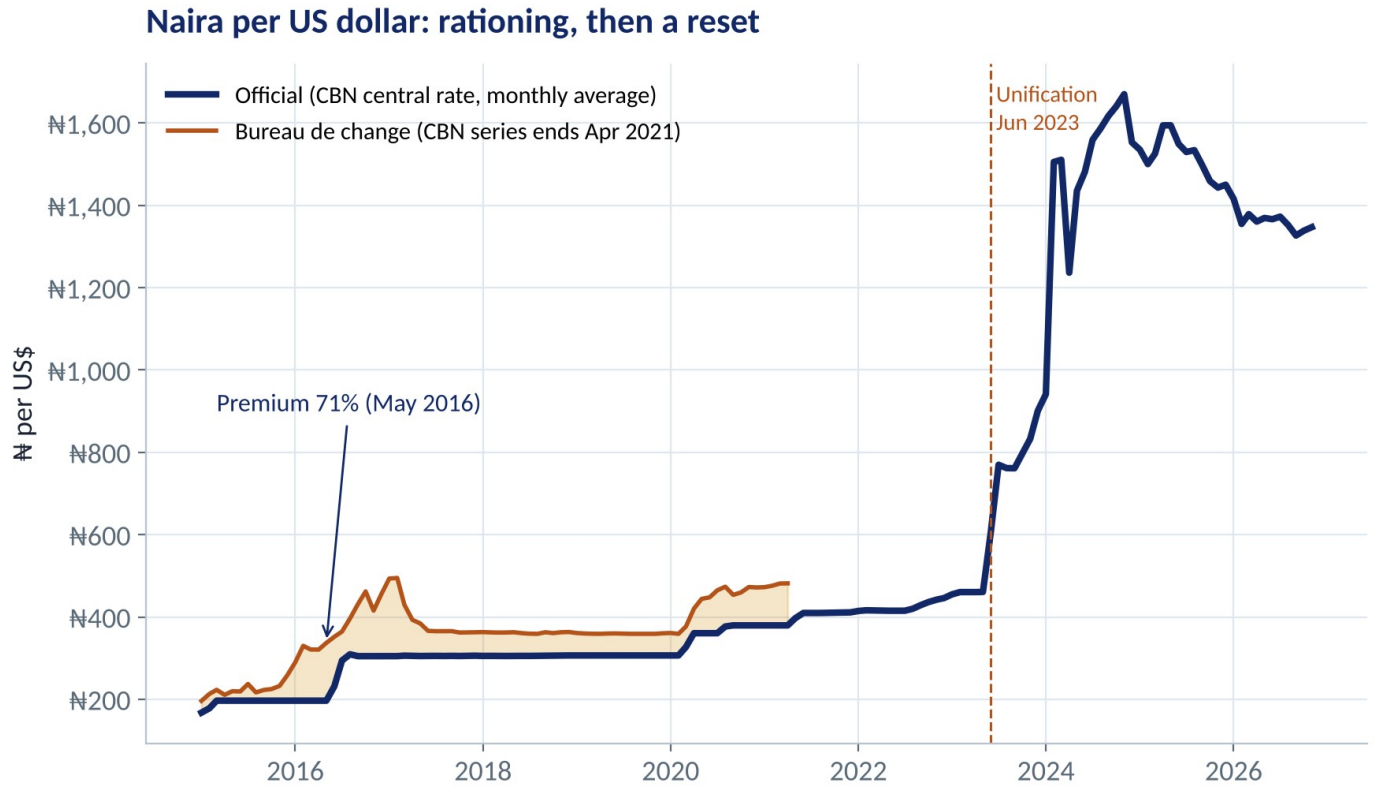
Fig S01-F07 · replicate: s01_figures.py / .R

WHAT TO SEE

- **Real growth**: (1 + nominal) ÷ (1 + inflation) − 1 = 1.30 ÷ 1.332 − 1 ≈ **−2.4%**. Volume fell.
- The shortcut 'nominal − inflation' gives −3.2%: fine for small rates, off at Nigerian rates.
- **In dollars**: ~~₦~~40bn ÷ 645 = **$62.0m** → ~~₦~~52bn ÷ 1,479 = **$35.2m**: down **43%**.
- The board was celebrating a business that shrank. Report **real, naira and dollar** figures side by side.
- Targets and bonuses set in nominal naira **reward inflation, not performance**.

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Naira per Dollar: Rationing, Then a Reset



Source: CBN statistics (cbn.gov.ng/rates), accessed Nov 2026.

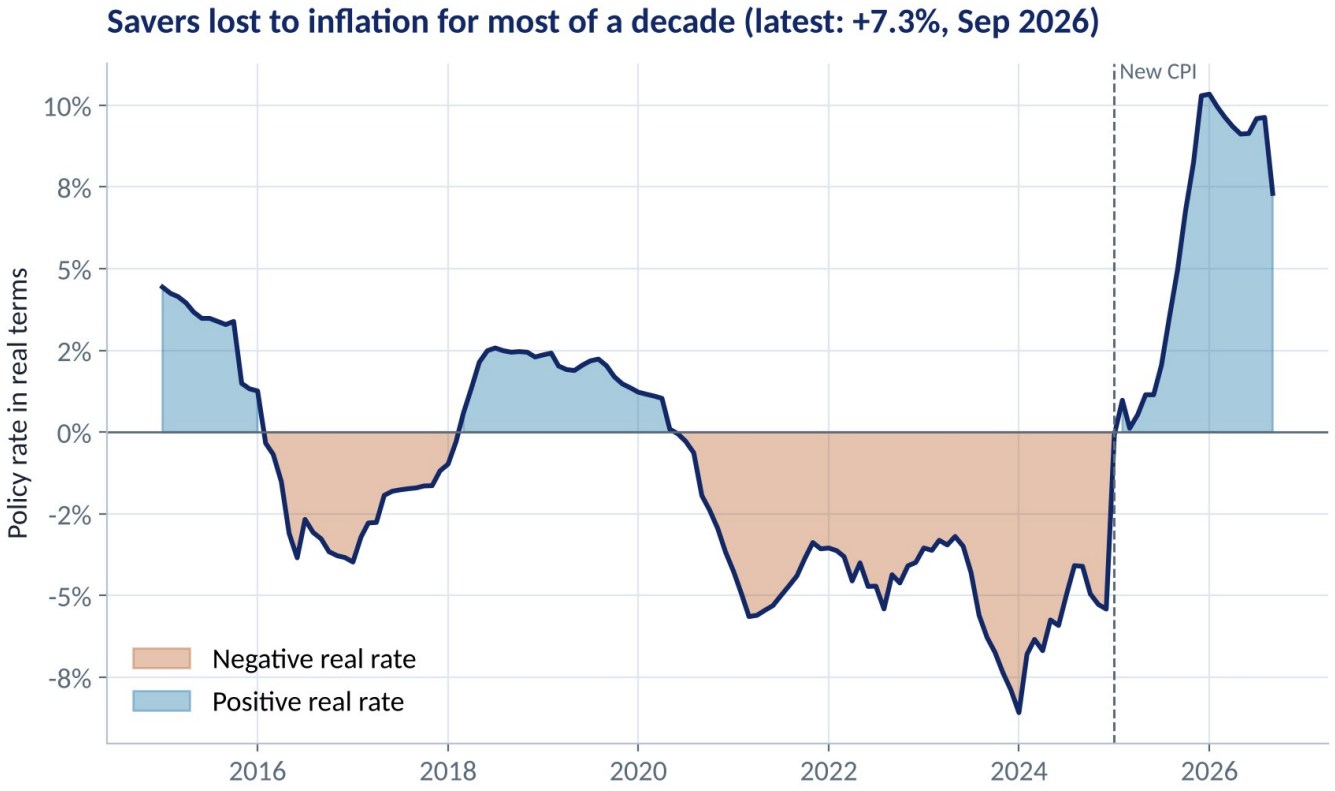
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WHAT TO SEE

- Until 2023 the CBN held an official rate; the **bureau-de-change** rate shows the market's price. The gap peaked at **71% (May 2016)**.
- A premium signals **rationing** — Principle 6 at work — and an incentive to arbitrage (Principle 4).
- June 2023 unification: the naira moved from about **₦460 to ₦750/$** within weeks, then past **₦1,500**.
- Today: **₦1,347/$** (CBN, 4 Nov 2026). **Use the rate you actually transact at.**

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Did Savers Beat Inflation? The Real Policy Rate



Source: CBN statistics (cbn.gov.ng/rates), accessed Nov 2026. Real rate = (1 + MPR) / (1 + headline inflation) − 1.

Fig S01-F03 · replicate: s01_figures.py / .R

WHAT TO SEE

- Real rate = (1 + policy rate) ÷ (1 + inflation) − 1 — the same arithmetic as real revenue.
- For most of 2016–2024 it was **negative**, falling below **−8%** in 2024: naira savings lost value, pushing savers into dollars, land and stock.
- Today: MPR **23%**, inflation **14.6%** → real rate **+7.3%**. Holding naira now **pays**.
- Part of the jump in January 2025 is the **new CPI** — measurement, not just policy.

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Four Reasons Two Series Move Together

THE RULE

Correlation tells you that two series **move together**. It does not tell you **why** — or which way the arrow points.

Before acting on 'X drives Y', rule out all four.

1 **A third factor drives both**

Bank credit and inflation both jumped after the 2023 devaluation: the weaker naira **revalued dollar loans** and **raised import prices**.

2 **Reverse causality**

Branches that spend more on marketing sell more — partly because budgets are **set as a share of last year's sales**.

3 **Time lags**

Policy and price shocks work with lags. A same-month correlation can show **no link, or the wrong sign**.

4 **Coincidence and small samples**

Two trending series always look related. Short windows and data-mining produce **spurious** patterns — the Kuznets curve story in the appendix is the classic.

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Oil Earns Nigeria's Dollars — Yet Reserves Don't Simply Track It



Sources: CBN gross reserves (month-end); FRED MCOILBRENTEU (Brent, monthly average).

Fig S01-F04 · replicate: s01_figures.py / .R

WHAT TO SEE

- The causal channel is clear: oil and gas earn most of the FX (Trap 3).
- Yet the correlation is only **0.54** in the same month — and **0.17** a year later.
- Why? Oil-backed loans and forward sales, CBN intervention, Eurobond and loan inflows, and **2026's reserve build despite** a volatile oil price.
- A causal link can hide inside a weak correlation, and a strong correlation can hide no link at all.

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Did Our Price Rise Cut Volumes? Use a Comparison Group

Volume change, Feb → Mar	Lagos (price +10%)	Abuja (no change)
Cartons sold	−8%	−5%
What else happened	Fuel-price rise	Fuel-price rise
Effect of the price rise	**−8% − (−5%) = −3%**	

THE ONE QUESTION

Ask of any 'X caused Y' claim: **compared with what?** Without a comparison group that faced the same shocks, you are measuring the shock, not your decision.

STEP BY STEP

1. **Naïve reading**: volumes fell 8% after a 10% price rise, so elasticity ≈ −0.8. Cut the price back?

2. But a fuel-price shock hit **both** cities. Abuja, with **no** price change, fell 5% anyway.

3. **Difference-in-differences**: the price rise explains only −8% − (−5%) = **−3%** → elasticity ≈ **−0.3**. Demand is fairly inelastic; keep the price.

4. Stronger designs: **randomised tests** (price a random half of outlets), and **natural experiments** (a policy that hits some regions or products and not others).

Cause needs a **counterfactual**: what would have happened without the decision?

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Quick Check: What Would You Say?

?

A director says: 'Inflation fell from 34.8% in December 2024 to 24.5% in January 2025 — down 10% in a month. We can cut prices.' What is the best response?

A The fall partly reflects the new CPI base and basket; January has since been revised to 27.6%, and it is a 10-point fall, not 10% — compare like with like before repricing

B He is right: a 10-point fall in one month is strong evidence that price pressures have ended

C He is right on the direction but wrong on size: it fell about 30%, so cut prices even more

D Ignore inflation data altogether; watch only the exchange rate

Discuss with your neighbour for 60 seconds — answer and reasoning in the speaker notes.

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PART

03

Nowcast and Build the Board's Page



See the economy before the statistics office does — and put it on one page.

The question this part answers: Which six numbers should the directors see every month, and what do they mean for us?

Seeing the Economy Before GDP Is Published

IN PLAIN ENGLISH

GDP for a quarter arrives about **two months after** it ends. **Nowcasting** estimates what is happening **now** from faster signals: business surveys (PMI), payments, fuel and power use, port traffic — and your own orders.

EXAMPLE

The Stanbic IBTC PMI was **55.7 in October 2026** (56.4 in September): a ninth month of growth, but input prices hit a four-month high on fuel costs — an early warning for margins.

THE FORMULA

$$\text{PMI} > 50 \text{ expanding} \cdot < 50 \text{ contracting}$$

A diffusion index: the balance of firms reporting improvement, centred on 50

WHY A MANAGER CARES

Your own data are nowcasting signals: **daily sales, distributor orders, collections and stock levels** often tell you about the economy weeks before NBS does. Combine them with the PMI and the price data on one page.

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The Board's Macro Page — November 2026

Indicator	Latest (date)	Direction	So what for an import-dependent FMCG firm
Headline / core inflation	14.6% / 13.0% (Sep 26)	Falling	Real incomes recovering; core still double-digit — price rises must stay selective
Monetary policy rate	23.0% (Sep 26)	Cut 350 bp	Working-capital costs easing; real rate ≈ +7% makes hoarding stock expensive
Naira (CBN official)	₦1,347/$ (4 Nov 26)	Stable	Imported-input costs steady; review hedges and dollar pricing assumptions
Gross reserves	$55.1bn (3 Nov 26)	Rising	Better FX liquidity; lower risk of a disorderly devaluation
Brent crude	$123.9 (Oct 26 avg)	Up sharply	More FX and revenue for Nigeria — but costlier diesel, freight and petrochemical inputs
Real GDP / PMI	4.43% (Q2 26) / 55.7 (Oct 26)	Growing	Volume growth possible; PMI flags rising input prices — protect margins

*Each row = **latest value with its date + direction + one 'so what'**. Same layout every month; the chart version is in the appendix.*

HANDS-ON LAB

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Lab 1: Build the Board's Macro Page

YOU WILL NEED

Data

`data/official/ng_official_monthly.csv`

R script

`sessions/s01/R/s01_lab.R`

Python script

`sessions/s01/python/s01_lab.py`

⏱ **15 minutes**

1. Load the official data and **look at the latest three months** — note the date of each series.
2. Build a table of **six indicators**: latest value, value a year ago, change (in **pp** for rates).
3. Add two derived numbers: the **real policy rate** (exact formula) and your firm's **real revenue growth**.
4. Mark the **January 2025 CPI break** and say how you would compare inflation across it.
5. Write one **'so what'** for your company under each number, using the macro-to-P&L map.

Deliverable: a one-page dashboard: six dated numbers, two derived indicators, six 'so what' lines.

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Quick Check: What Would You Say?

?

Which pair of signals would best tell an FMCG board, **this month**, that demand is weakening?

A. Last quarter's GDP release and the IMF's annual forecast

B. The CPI base year and the GDP base year

C. The 10-year bond yield and the oil price

D. The PMI new-orders index and the firm's own distributor orders and collections

Discuss with your neighbour for 60 seconds — answer and reasoning in the speaker notes.

KEY TAKEAWAYS

Session 1 in 5 Ideas

01 Economics is a **management tool**: trade-offs, opportunity cost, the margin and incentives frame every decision.

02 Use the **macro-to-P&L map**: every economic force lands in a specific line of your accounts.

03 Every statistic has a supply chain: check **base year, basket, coverage and revisions**.

04 Report **real, naira and dollar** values side by side — '30% growth' was a 2% real fall and a 43% dollar fall.

05 Correlation is not cause — ask **'compared with what?'** — and show the board **one page** of fast, dated signals.



NEXT › Session 2: Demand, Supply & Elasticity

Before next session: Read Mankiw ch. 4–5 and the Note on Microeconomics for Managers (demand, supply, elasticity). Bring one price your company changed in the last year and what happened to volumes — and a comparison group.

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APPENDIX



Self-Study: Going Deeper

Read these before the quiz. They are not presented in class.

The question this part answers: What else do I need to master Session 1 on my own?

SELF-STUDY

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Course Roadmap — 16 Sessions, 4 Parts

Pre-module and intra-module online sessions, sixteen on-campus sessions, and a closed-book final exam.

YOU ARE HERE

Part I



Sessions 1–5

Micro & markets

Data literacy, demand and elasticity, forecasting, market structure and platforms, market failures

Part II



Sessions 6–10

Macro, policy & risk

AD–AS and inflation, national accounts, monetary policy, fiscal policy and debt, financial stability

Part III



Sessions 11–12

Open economy

Exchange rates, capital flows and the trilemma; trade, supply chains, industrial policy and AfCFTA

Part IV



Sessions 13–16

Strategic frontiers

Climate economics, country risk and scenarios, hedging and resilience, capstone memos

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Economics Is the Study of Choice Under Scarcity

DEFINITION

Scarcity: society has limited resources and cannot produce everything people want. **Economics** studies how society manages those scarce resources.

A firm is a small society: limited cash, capacity, FX, management attention.

1

Every decision is an allocation

Scarce dollars to raw materials or to a dollar loan? More 50 cl or 1 litre packs? Economic questions before they are finance questions.

2

Everyone chooses

Customers trade off food against transport; competitors trade off price against margin; government trades off subsidies against capital spending.

3

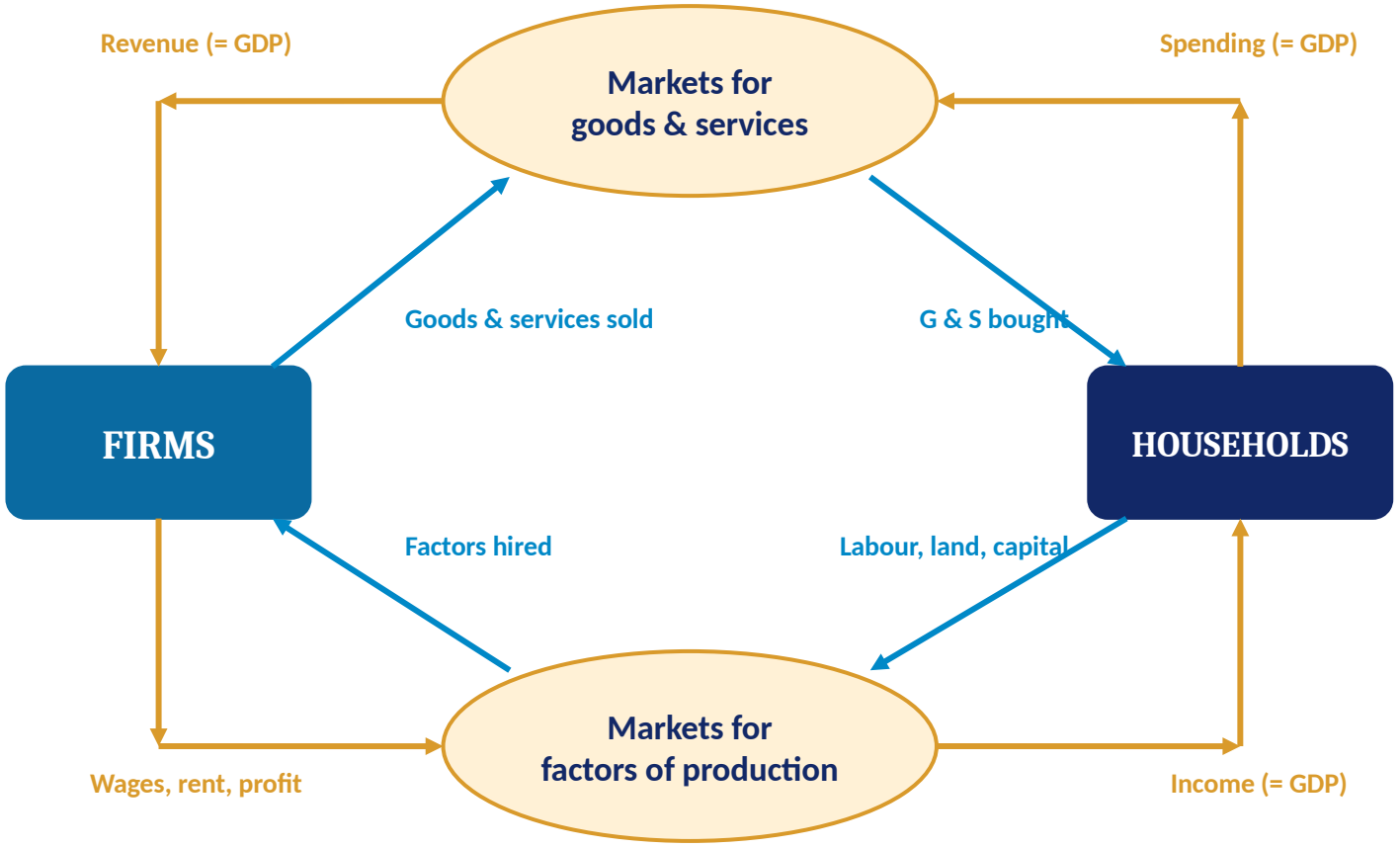
Two zoom levels

Microeconomics: households and firms in markets (Sessions 2–5). **Macroeconomics**: economy-wide inflation, growth, interest and exchange rates (Sessions 6–12).

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The Circular-Flow Diagram: The Simplest Model of the Economy



Gold = flows of naira · Blue = flows of goods, services and factors

HOW TO READ IT

- A **model** is a simplified map: it leaves out detail on purpose so we can see how parts connect.
- **Households** own labour, land and capital; **firms** hire them to produce goods and services.
- Every naira one person spends is a naira of **income** for someone else: total spending = total income = **GDP**.
- Left out on purpose: government, banks and the rest of the world (Sessions 7–11).
- When households' real incomes fall, the flow into your goods market shrinks.

Positive vs Normative: Scientist or Policy Adviser?

Positive statements

Describe how the world is — testable

- 'Removing the petrol subsidy raised transport fares.'
- 'A 10% depreciation raises the CPI by x% within a year.'
- Settled with **evidence**.

Normative statements

Prescribe how it should be — values

- 'The CBN should cut rates to help manufacturers.'
- 'Nigeria ought to ban textile imports.'
- Involve **values and priorities**, not only facts.

*Why economists disagree: different **scientific judgements**, different **values** — and less often than headlines suggest.*

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Classify Each Statement

#	Statement	Positive	Normative
1	Inflation fell from 34.8% in December 2024 to 14.6% in September 2026.	☐	☐
2	Inflation of 15% is still far too high for Nigeria.	☐	☐
3	Higher minimum wages reduce formal-sector hiring of young workers.	☐	☐
4	The government should use oil windfalls to pay down debt rather than raise salaries.	☐	☐
5	Banks that raised capital in the recapitalisation have grown lending faster.	☐	☐
6	A strong naira is good for the country.	☐	☐

*Tip: **should**, **ought**, **too high**, **good**, **fair** usually signal a normative claim. A positive claim can be **false** and still be positive.*

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GDP: What Is Counted, and What Is Not

$$Y = C + I + G + NX$$

GDP is the **market value** of all **final** goods and services **produced in a country** in a period.

C consumption · **I** investment · **G** government purchases (not transfers) · **NX** exports − imports

Because spending = income, GDP also measures total income.

1 **'Market value'**

Valued at market prices so we can add rice and phone calls. Unpriced work — home care, subsistence — is largely left out.

2 **'Final' goods only**

Count the loaf, not the flour in it, or you double-count.

3 **'Produced in a country'**

GDP counts output inside Nigeria, whoever owns the factory; GNI counts income of Nigerians wherever earned.

4 **Nominal vs real GDP**

Q2 2026: nominal GDP **+18.4%**, real **+4.4%**. The gap (≈13.4%) is price change — the **GDP deflator**.

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Three Biases Every Price Index Carries

Substitution bias

When rice gets dearer, families switch to garri or yam. A fixed basket ignores the switch, so it **overstates** the rise in the cost of living.

New goods

Mobile money and ride-hailing widened choice and cut costs. A basket fixed in an old base year **misses them** until it is rebased.

Unmeasured quality

If a phone costs 20% more but does twice as much, part of the 'price rise' is really **more quality**.

*These biases are why statistics offices **rebase**. Rebasing reduces the bias — but breaks the series.*

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Which Change Are You Looking At?

September 2026	Year on year	Month on month	m/m annualised
Headline	14.63%	0.06%	≈ 0.7%
Food	19.59%	−1.55%	≈ −17%
Core	12.95%	1.11%	≈ 14.2%

WATCH FOR BASE EFFECTS

Base effects: if prices jumped in a month last year, the y/y rate falls mechanically when that month drops out — even if nothing improves today. The mid-2023 petrol-price jump did exactly this to mid-2024 readings.

STEP BY STEP

1. **Year on year** compares with the same month last year: smooth, but it carries **twelve months of history**.
2. **Month on month** shows the latest momentum — noisy and seasonal (harvests, festive demand).
3. **Annualise** a monthly rate: $(1 + m)^{12} - 1$. Core: $1.0111^{12} - 1 \approx$ **14.2%**.
4. Reading: headline momentum looks near zero because **food fell after the harvest**; underlying (core) pressure still runs at about 14% a year.

Ask: **compared with when? seasonally adjusted? headline or core?**

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The Kuznets Curve: A Big Theory Built on a Special Period

CAPITAL IN THE 21ST CENTURY, INTRODUCTION

In 1955 Simon Kuznets suggested inequality **naturally falls** as economies develop. The idea spread worldwide.

Kuznets himself warned the data were special; the warning was forgotten.

1

Careful data

Kuznets built the first US income-distribution series from tax returns, **1913–1948**, and documented every method.

2

One country, 35 years, two shocks

The fall in US inequality came largely from the **Great Depression and World War II**, not an automatic law.

3

The pattern reversed

Longer, wider data show inequality **rising again** in many countries from the 1980s.

4

Manager's lesson

A trend from a short or unusual window — say 2016–2020, or the post-2023 reform period — is a **hypothesis**, not a law.

Nigeria's Unemployment Rate: 33% to 4% — by Definition

NBS METHODOLOGY CHANGE, 2023

The headline unemployment rate went from **33.3% (Q4 2020)** to **4.1% (Q1 2023)**. Most of the fall is a **change of definition**, not of jobs.

The two numbers are not comparable.

1

What changed

Under the new method, anyone who worked **at least one hour** for pay or profit in the past week counts as employed (the ILO standard).

2

Watch underemployment

Time-related underemployment — working under 40 hours and wanting more — was **12.2%** in Q1 2023.

3

Why it matters for the trade-off

With most jobs informal, tightening shows up first in **hours, incomes and informal sales**, not in the headline rate.

4

Manager's use

Track your own **footfall, basket size and distributor orders** as the real-time labour-income signal.

Six Official Series on One Page

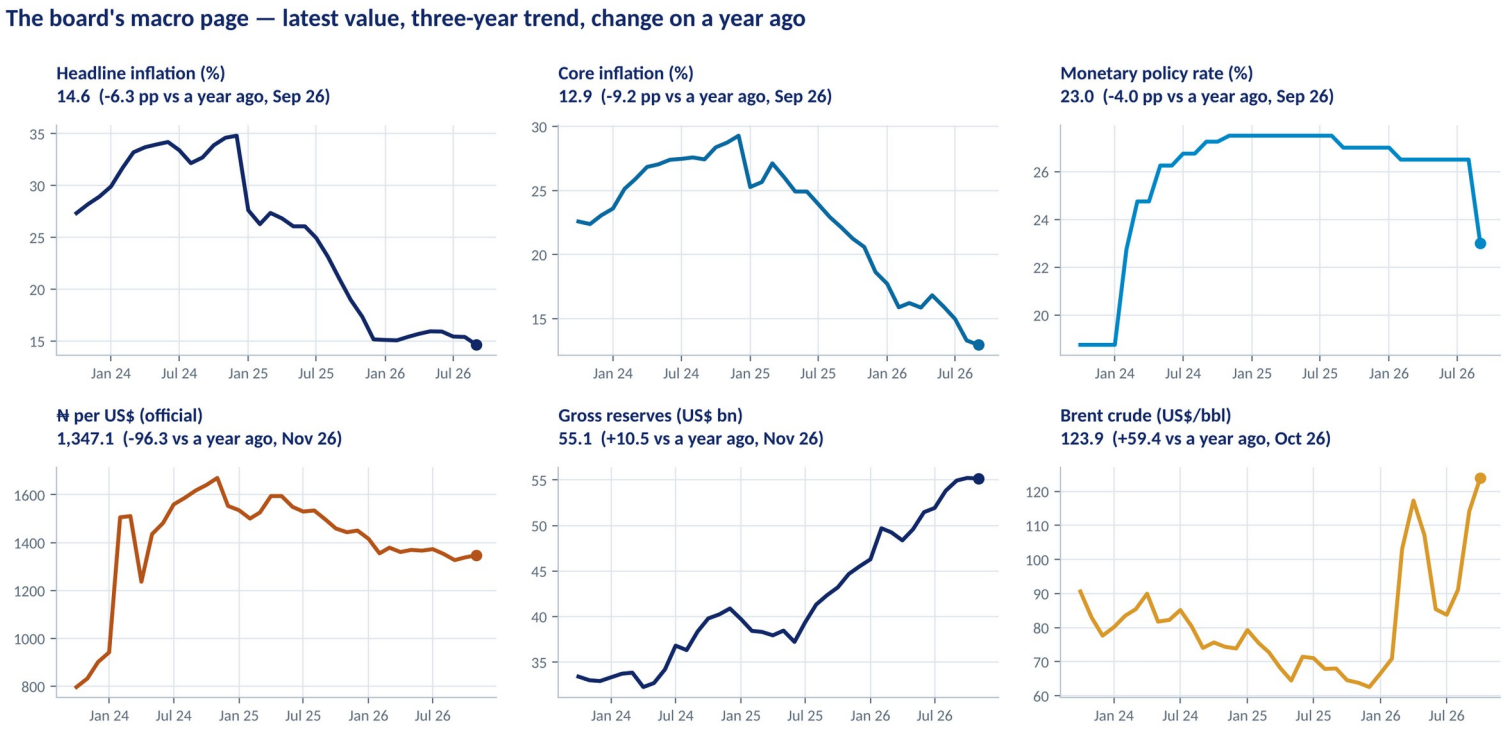


Fig S01-F06 · replicate: s01_figures.py / .R

WHAT TO SEE

- Each panel: **latest value and date**, a three-year trend and the **change on a year ago**.
- Covers prices, money, the currency, external buffers and the oil price.
- Same layout every month, so directors see change at a glance.
- Inflation panels cross the **January 2025 CPI break** — label it.

The Sources Every Nigerian Manager Should Bookmark

Source	What you get	How often	Watch out for
NBS (nigerianstat.gov.ng)	CPI, GDP, labour force, foreign trade	Monthly / quarterly	Rebasing (CPI 2025, GDP 2025); revisions
CBN (cbn.gov.ng/rates)	MPR, exchange rates, reserves, money and credit; downloadable series	Daily to monthly	Series start/stop; BDC data end 2021
DMO · NUPRC · FMDQ	Public debt; oil output; FX and bond prices	Monthly / daily	Different coverage of 'debt' and 'output'
S&P Global – Stanbic IBTC PMI	Private-sector survey: output, orders, prices, jobs	Monthly (days 1–3)	>50 = more firms improving
IMF (WEO, data.imf.org)	Comparable cross-country data and forecasts	April / October	Forecasts revised often
World Bank WDI · FRED	Long annual series; global prices (Brent)	Annual / monthly	Lags; current vs constant dollars

The Traps — and the Habit That Beats Each One

THE TRAP	THE BETTER HABIT
Comparing inflation or GDP across a **rebasing** or before a **revision**.	Check the **base year and vintage**; use the linked series.
'Oil is only 4% of GDP, so the oil price doesn't matter to us.'	Ask **share of what** — exports, revenue, FX supply.
'Rates fell 3.5 percent.'	Say **3.5 percentage points** (350 bp).
Reading only year-on-year rates.	Add **m/m annualised** and core to see momentum; watch base effects.
Celebrating nominal naira growth.	Report **real, naira and dollar** values side by side.
'Sales fell after the price rise, so the price rise caused it.'	Ask **compared with what?** — use a comparison group.

Today's Vocabulary in Plain English

Opportunity cost	The value of the best alternative given up.
Marginal	The extra benefit or cost of one more unit or decision.
Comparative advantage	Producing at a lower opportunity cost than others.
Positive / normative	Claims about what is (testable) vs what should be (values).
GDP / GDP deflator	Market value of final output; nominal ÷ real GDP.
CPI	Cost of a fixed basket relative to a base period.
Rebasing / revision	New base and weights / corrected past figures; both break comparisons.
Real vs nominal	Adjusted for price changes vs in current naira.
Percentage point	Simple difference between two rates (1 pp = 100 bp).
Difference-in-differences	Effect = change in treated group − change in comparison group.

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Readings Behind This Session

Mankiw, Principles of Economics — ch. 1–3	Ten principles; economists as scientists and advisers; the circular flow; comparative advantage.
Mankiw — ch. 22 & 23 (course copy)	Measuring income (GDP, real vs nominal, the deflator) and the cost of living (CPI and its biases). In the 7th–9th editions these are ch. 23–24.
Ferguson, The Ascent of Money — Intro & ch. 2	Money, inflation as a transfer, bonds, and Argentina's long decline.
Piketty, Capital in the 21st Century — Introduction	'A Debate without Data?' and the Kuznets curve: how data and periods shape big conclusions.
LBS case: The Business Environment of Nigeria (IB-90)	Oil dependence, macro volatility and the 2000s reforms (excess crude account; reserves $7.5bn → $60.8bn).
Note on Microeconomics for Managers	Demand, supply and elasticity — the reading for Session 2.